SHMD - SCHMID Group | Full investment artifact

Full active edition | Financial methods and portfolio Base overrides preserved.

Research date: 18 September 2026 | **Capital-structure evidence updated:** 2 October 2026 | **Framework:** 8.0 evidence update; original operating model retained | **Format:** standalone current-state analysis **Status:** Full quarterly artifact; original operating model retained; H1 turnaround and financing updated | **Classification:** RECOVERY / BOTTLENECK-ADJACENT - panel process equipment **Artifact Base:** 38/60 = **63% - Fail** | **Protected portfolio Base:** 53% (user override retained; separate from artifact assessment) **Snapshot:** supplied-workbook price USD 4.720; model share proxy 74.000000M; implied snapshot market capitalization 323.407 EUR millions. Price is frozen from the supplied workbook, not a current-market refresh; capitalization uses the modeled denominator. **Active ceiling:** Q4 2027 **USD 9.537391**, pricing Q4 2027-Q3 2028. All 15 quarterly ceilings are derived below. The headline follows the current master horizon; the underlying quarterly path is unchanged.

Packaging demand and backlog are more concrete, but cash conversion and minority shareholder dilution remain central. A larger TAM supports a stronger operating case only if funded orders deliver adequate margins.

1. Supercycle, supply chain and durable advantage

Larger AI packages require better interconnect density, flatness, yield and power delivery. SCHMID supplies wet processing, plating and panel-level process equipment into that transition. Process integration and customer qualification matter, but alternative equipment and chemistry providers exist. The operating recovery and the financing vehicle must both succeed for shareholders to capture the larger market.

AI infrastructure architecture → substrate/PCB capacity → process-equipment orders → manufacture/shipment/acceptance → support. SCHMID equipment can serve organic panels as well as glass. Metallization remains a technical issue; end-customer qualification is an additional requirement, not an automatic consequence of a laboratory metric.

Business / curve	Stage	Evidence and next inflection
HDI / mSAP	Recovery and capacity cycle	Repeat orders already received.
Panel / glass	Qualification to early commercial	Different customers and processes are at different stages.
Recurring support	Installed base	Service revenue grows with installed tools.

Stage percentages are qualitative framework bands relative to a possible mature opportunity, not measured market penetration. A current capacity constraint can coexist with a larger long-term TAM; qualification and economic capture decide how much reaches this company.

2. Forward TAM and the three-phase expansion lens

Phase	Engineering opportunity	Demand-to-company bridge
2026-27	Substrate and AI-server equipment	2027 equipment145M plus support15.2M. Backlog95M is a starting stock; new orders and recognition timing are required, not the addition of backlog and all guided intake.
2028-29	Broader panel adoption	2029 advanced packaging110M: analyst33 qualified line-equivalents×10M addressable equipment content×one-third capture. Neither line count nor capture is company guidance.
2030+	Larger panel opportunity and support	2030 advanced130M assumes39 line-equivalents×10M×one-third capture; PCB130M and services25M produce285M total. Expansion includes share/capacity gains and is conditional.

The 100% / 50% / 20% thematic weights guide thesis assessment. They are not blanket discounts to reported sales, contracts or all forecasts. Programme probabilities below govern only separately identified optionality. Current reported sales calibrate the starting point; they do not cap the future market.

3. Current earnings and management evidence

H1 revenue45.999M EUR, GP9.772M, selling5.411M, administration8.532M and R&D2.357M give core OP-6.528M. Net other operating items-1.431M reconcile to reported OP-7.959M. Adjusted EBITDA-0.563M adds back depreciation and several costs, so it is not the valuation earnings base [E1].

The available May18 and August25 prepared remarks and complete displayed Q&A through closing remarks were reviewed [E2,E3]. May described packaging qualification and margin recovery; August confirmed stronger orders but lowered the EBITDA outlook. Customer deposits and bank guarantees, labor training and product mix constrain execution. Some transcript numbers conflict with releases, so filed financial figures take precedence.

Both public transcript pages show management discussion, Q&A and closing remarks, although their generic footer advertises partial access. Completeness is based on the visible closing sequence, not independent audio verification. Product margins and customer-specific capex shares are not disclosed. Filed release figures supersede transcription errors.

4. Local evidence and calibration packet

H1 reported total and GP calibrate exactly. Named customer capex allocations are unavailable, so no false percentage of TSMC or Intel capex is asserted. The operational bridge is equipment backlog, manufacturing capacity and qualified project conversion. New China campus is expected Q4 2027; management described roughly50M old versus100M new China revenue capacity. Germany capacity depends principally on trained labor.

5. Summing thesis score

Category	Points / maximum	Evidence
Core thesis	13/20	Relevant process portfolio; contested equipment/chemistry ecosystem.
Inflection / cycle	7/10	Orders and revenue recover, with margins still weak.
Forward TAM	9/10	Advanced substrate and panel opportunities expand beyond glass alone.
Catalysts	4/5	Backlog conversion, cost program and campus.
Macro / policy	7/10	AI investment support offset by trade and China exposure.
Alpha / evidence	3/5	Better public disclosure; customers and allocations remain opaque.
Risk deductions	-5	Five independent classes.

Sum: 38/60 × 100 = 63.333333%, conventionally rounded to 63%. This advisory thesis score does not replace any portfolio Base override. The separate risk classes below total the displayed deduction; holding status and classification do not waive that deduction.

6. Revenue sources, capture and product margins

Three vectors distinguish conventional/AI PCB equipment from advanced packaging and recurring support. H1 analyst split30M PCB+9.599M advanced equipment/licenses+6.4M support=45.999M. GP calibration uses PCB15%, support40%, residual advanced GP=(9.772-4.5-2.56)=2.712M, or28.253%. The allocation is not a reported segment split. Quarterly GP increases with higher-value equipment mix and cost recovery; explicit costs retain recurring compensation and depreciation.

Vector	Actual calibration / source	Forward demand and capture	Margin derivation / constraint
PCB / substrate	H1 split30M estimated within reported equipment39.4M	2027 total85M;2030 total130M supported by China expansion plus German shipments	GM24→31% includes better purchasing/utilization; not guaranteed.
Packaging / licenses	H1 residual9.599M includes0.2M disclosed license/other	2027 total60M;2030 total130M; no duplicated37M order	GM38.5→43% requires premium equipment mix.
Parts / service	H1 approximately6.4M reported	2027 total15.2M;2030 total25M	GM45→48% analyst estimate, not disclosed segment profitability.

Confidence: reported historical totals are HIGH. Source-based forward extrapolations are MEDIUM only where the cited source sizes the relevant period; other product allocations, future capture and margin assumptions are LOW. A source for the historical anchor does not make an unsourced future factor management guidance. The detailed factors below are the single modeled base case, with uncertain assumptions exposed for review.

V1. PCB and substrate production equipment

Sources: E1/E3/E4; analyst order conversion. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	30.000000	0.600000	18.000	24.000%	4.320
Q4 2026	30.000000	0.666667	20.000	24.412%	4.882
Q1 2027	30.000000	0.600000	18.000	24.824%	4.468
Q2 2027	30.000000	0.666667	20.000	25.235%	5.047
Q3 2027	30.000000	0.733333	22.000	25.647%	5.642
Q4 2027	30.000000	0.833333	25.000	26.059%	6.515
Q1 2028	30.000000	0.700000	21.000	26.471%	5.559
Q2 2028	30.000000	0.766667	23.000	26.882%	6.183
Q3 2028	30.000000	0.866667	26.000	27.294%	7.096
Q4 2028	30.000000	1.000000	30.000	27.706%	8.312
Q1 2029	30.000000	0.833333	25.000	28.118%	7.029
Q2 2029	30.000000	0.900000	27.000	28.529%	7.703
Q3 2029	30.000000	1.000000	30.000	28.941%	8.682
Q4 2029	30.000000	1.133333	34.000	29.353%	9.980
Q1 2030	30.000000	0.933333	28.000	29.765%	8.334
Q2 2030	30.000000	1.033333	31.000	30.176%	9.355
Q3 2030	30.000000	1.133333	34.000	30.588%	10.400
Q4 2030	30.000000	1.233333	37.000	31.000%	11.470

V2. Advanced packaging / glass equipment and licenses

Sources: E1/E2/E3; analyst qualification capture. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	9.599000	0.635483	6.100	38.500%	2.349
Q4 2026	9.599000	1.270966	12.200	38.765%	4.729
Q1 2027	9.599000	1.041775	10.000	39.029%	3.903
Q2 2027	9.599000	1.354308	13.000	39.294%	5.108
Q3 2027	9.599000	1.666840	16.000	39.559%	6.329
Q4 2027	9.599000	2.187728	21.000	39.824%	8.363
Q1 2028	9.599000	1.562663	15.000	40.088%	6.013
Q2 2028	9.599000	1.979373	19.000	40.353%	7.667
Q3 2028	9.599000	2.396083	23.000	40.618%	9.342
Q4 2028	9.599000	2.916971	28.000	40.882%	11.447
Q1 2029	9.599000	2.187728	21.000	41.147%	8.641
Q2 2029	9.599000	2.604438	25.000	41.412%	10.353
Q3 2029	9.599000	3.125326	30.000	41.676%	12.503
Q4 2029	9.599000	3.542036	34.000	41.941%	14.260
Q1 2030	9.599000	2.604438	25.000	42.206%	10.551
Q2 2030	9.599000	3.125326	30.000	42.471%	12.741
Q3 2030	9.599000	3.646213	35.000	42.735%	14.957
Q4 2030	9.599000	4.167101	40.000	43.000%	17.200

V3. Parts and services

Sources: E1/E3; analyst installed-base support. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	6.400000	0.546875	3.500	45.000%	1.575

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q4 2026	6.400000	0.578125	3.700	45.176%	1.672
Q1 2027	6.400000	0.546875	3.500	45.353%	1.587
Q2 2027	6.400000	0.578125	3.700	45.529%	1.685
Q3 2027	6.400000	0.609375	3.900	45.706%	1.783
Q4 2027	6.400000	0.640625	4.100	45.882%	1.881
Q1 2028	6.400000	0.625000	4.000	46.059%	1.842
Q2 2028	6.400000	0.671875	4.300	46.235%	1.988
Q3 2028	6.400000	0.718750	4.600	46.412%	2.135
Q4 2028	6.400000	0.796875	5.100	46.588%	2.376
Q1 2029	6.400000	0.750000	4.800	46.765%	2.245
Q2 2029	6.400000	0.812500	5.200	46.941%	2.441
Q3 2029	6.400000	0.875000	5.600	47.118%	2.639
Q4 2029	6.400000	1.000000	6.400	47.294%	3.027
Q1 2030	6.400000	0.875000	5.600	47.471%	2.658
Q2 2030	6.400000	0.937500	6.000	47.647%	2.859
Q3 2030	6.400000	1.000000	6.400	47.824%	3.061
Q4 2030	6.400000	1.093750	7.000	48.000%	3.360

7. Operating-cost bridge and quarterly operating model

Quarterly operating costs6.2→10M include ongoing R&D, administration, selling, compensation and depreciation in the relevant cost lines. H2 modeled core OP is positive. The FY2026 cross-check starts with actual H1 core loss and reconciles to management adjusted EBITDA by adding only clearly identified costs; adjusted EBITDA is never multiplied as OP. Forecast revenue109.499M exceeds the company revenue floor.

Profit basis: Core operating profit including recurring compensation and depreciation; excludes net finance fair-value movements and net FX/other operating volatility. Amounts below are EUR millions.

Quarter	Status	Revenue	GP / contribution	Opex %	Opex	OP margin	Operating profit	Main driver	Confidence
Q3 2026	Model	27.600	8.244	22.464%	6.200	7.404%	2.044	Backlog execution	LOW model
Q4 2026	Model	35.900	11.283	17.893%	6.424	13.537%	4.860	German mix recovery	LOW model
Q1 2027	Model	31.500	9.959	21.102%	6.647	10.513%	3.311	Order conversion	LOW model
Q2 2027	Model	36.700	11.840	18.721%	6.871	13.540%	4.969	Packaging qualifications	LOW model
Q3 2027	Model	41.900	13.754	16.931%	7.094	15.895%	6.660	Substrate capacity projects	LOW model
Q4 2027	Model	50.100	16.759	14.606%	7.318	18.845%	9.441	New China campus scheduled	LOW model
Q1 2028	Model	40.000	13.414	18.853%	7.541	14.683%	5.873	Campus utilization	LOW model
Q2 2028	Model	46.300	15.838	16.770%	7.765	17.437%	8.073	Panel expansion	LOW model
Q3 2028	Model	53.600	18.573	14.903%	7.988	19.749%	10.585	Advanced mix	LOW model
Q4 2028	Model	63.100	22.135	13.014%	8.212	22.065%	13.923	Customer acceptance	LOW model
Q1 2029	Model	50.800	17.915	16.605%	8.435	18.661%	9.480	Repeat packaging orders	LOW model
Q2 2029	Model	57.200	20.497	15.138%	8.659	20.696%	11.838	Installed-base support	LOW model
Q3 2029	Model	65.600	23.824	13.540%	8.882	22.777%	14.942	Capacity productivity	LOW model
Q4 2029	Model	74.400	27.267	12.239%	9.106	24.410%	18.161	Year-end equipment shipments	LOW model
Q1 2030	Model	58.600	21.544	15.920%	9.329	20.844%	12.215	2030 packaging capture	LOW model

Quarter	Status	Revenue	GP / contribution	Opex %	Opex	OP margin	Operating profit	Main driver	Confidence
Q2 2030	Model	67.000	24.955	14.258%	9.553	22.988%	15.402	New applications	LOW model
Q3 2030	Model	75.400	28.418	12.966%	9.776	24.724%	18.642	Service attachment	LOW model
Q4 2030	Model	84.000	32.030	11.905%	10.000	26.226%	22.030	Endpoint requires larger qualified orders	LOW model

OP = sum of product GP/contribution - explicit operating costs. OP margin = OP ÷ revenue. Displayed numbers are rounded for reading; the workbook calculates from unrounded inputs. Guidance assigned to a future quarter retains Model status because guidance is not an actual result.

8. Multiple, shares and recognition convention

Retain20× operating profit and fixed1.08USD/EUR planning FX. This exchange rate is a model assumption carried from the original, not a current spot quote. It translates EUR operating profit to USD equity ceiling.

The unchanged **74M initial diluted-share proxy** now reconciles as **61.637954M reported ordinary shares excluding nonvested earn-out shares + 8.620949M remaining illustrative financing allowance + 3.741097M contingency = 74.000000M**. The prior 60.958903M actual base increased by 0.679051M on the September 17 note conversion. That conversion is treated as realization of part of the existing financing allowance, which falls from 9.300000M to 8.620949M, rather than as a new claim on top of the fully allowed denominator. This is the retained model's allocation judgment, not a filed instrument-by-instrument fully diluted share count. The quarterly path still ramps toward 84M. The 5M earn-out shares have been issued but are not vested and remain subject to cancellation; they are included in the issuer's 66.637954M inclusive count and must not be added twice. Total instrument outcomes can exceed the model allowance. Resale registration of existing shares is not a new issuance a second time. [E7;E8]

8A. September 30 prospectus reconciliation, filed October 1

The September 30 prospectuses report **61,637,954 ordinary shares excluding 5,000,000 issued but nonvested earn-out shares**; the inclusive count is **66,637,954**. The exact increase from the prior artifact is **61,637,954 - 60,958,903 = 679,051 shares**. The financing-history disclosure attributes it to conversion on **September 17, 2026 of USD 2M of 2028-note principal plus accrued interest at USD 2.9974 per share**. It is not the cumulative 1.49M-share SEPA issuance. Remaining 2028-note principal is USD 9M. [E7;E8]

Initial denominator component	Prior proxy, M shares	Reconciled proxy, M shares
Reported ordinary shares, excluding nonvested earn-out	60.958903	61.637954
Illustrative remaining financing allowance	9.300000	8.620949
Combined contingency for interest, incentives, funding and conditional instruments	3.741097	3.741097
Total initial valuation proxy	**74.000000**	**74.000000**

Outstanding or registered item	September 30 disclosure	Treatment and remaining uncertainty
2028 convertible notes	USD 9M principal remains after September 17 conversion; the relevant registration covers up to 15.544042M conversion shares	A registered maximum is not actual issued shares or a precise remaining forecast denominator. Conversion pricing, interest and adjustments require a dated instrument schedule. [E7;E8]
2029 convertible notes	USD 20M funded July 14; up to 10.362693M conversion shares registered; conversion price floor USD 1.93 and maximum USD 10.50	Shares are potential, not already issued; conversion is allowed only after all 2028 notes have converted. The old and new note claims cannot be treated as additional issued capital without reconciliation. [E8;E10]
SEPA	5M registered shares include 1.49M already issued, including 24,889 commitment shares; 3.51M remain available	Approximately USD 9M gross proceeds received against a USD 30M maximum commitment; up to approximately USD 21M further proceeds depend on future issuance. Neither secondary resale nor unused commitment is new company cash. [E8]
May private placement	4.958481M shares already issued May 23 against EUR 30.75M of claims	October resale disclosure does not create another issuance or fresh cash receipt. [E9]
Warrants, earn-out and other conditional instruments	3.744150M 2026 warrants, versus up to 6.217617M adjusted shares registered; 21M SPAC warrants; 5M issued but nonvested earn-out shares; other loan/options/bonus registrations	Exercise, vesting, pricing and adjustment outcomes remain conditional. The prospectus's 131.052850M aggregate hypothetical total is registration arithmetic, not current actual or adopted diluted shares. [E7;E8]

This factual reconciliation leaves the operating forecast, FX, multiple, complete quarterly diluted-share path, all ceilings, analytical Base and protected portfolio Base unchanged. Reducing the residual allowance by the exact converted-share increment avoids counting the same financing claim twice; it does not certify that the remaining allowance covers every possible instrument outcome. The current model's stated dilution sensitivity and risk deduction remain in force.

The valuation denominator is the ceiling quarter’s diluted-share proxy. It is not a historical EPS weighted-average assumption disguised as a fully known future capitalization. Unit factor: 1.08; this converts the model units to USD per share. No cash balance, enterprise-value adjustment or after-tax earnings substitution is added to the operating-profit ceiling.

9. Complete rolling four-quarter ceiling derivation

Ceiling quarter	Exact earnings window	Forward 4Q OP	Multiple	Diluted shares M	Ceiling USD	Key inflection
Q3 2026	Q3 2026 → Q2 2027	15.183912	20×	74.000000	4.432061	Backlog execution
Q4 2026	Q4 2026 → Q3 2027	19.800588	20×	74.588235	5.734050	German mix recovery
Q1 2027	Q1 2027 → Q4 2027	24.382118	20×	75.176471	7.005566	Order conversion
Q2 2027	Q2 2027 → Q1 2028	26.943882	20×	75.764706	7.681517	Packaging qualifications
Q3 2027	Q3 2027 → Q2 2028	30.048000	20×	76.352941	8.500482	Substrate capacity projects
Q4 2027	Q4 2027 → Q3 2028	33.973059	20×	76.941176	9.537391	New China campus scheduled
Q1 2028	Q1 2028 → Q4 2028	38.454941	20×	77.529412	10.713698	Campus utilization
Q2 2028	Q2 2028 → Q1 2029	42.061412	20×	78.117647	11.630234	Panel expansion
Q3 2028	Q3 2028 → Q2 2029	45.826000	20×	78.705882	12.576463	Advanced mix
Q4 2028	Q4 2028 → Q3 2029	50.182294	20×	79.294118	13.669836	Customer acceptance
Q1 2029	Q1 2029 → Q4 2029	54.420176	20×	79.882353	14.715087	Repeat packaging orders
Q2 2029	Q2 2029 → Q1 2030	57.155000	20×	80.470588	15.341605	Installed-base support
Q3 2029	Q3 2029 → Q2 2030	60.718765	20×	81.058824	16.179920	Capacity productivity
Q4 2029	Q4 2029 → Q3 2030	64.418824	20×	81.647059	17.042213	Year-end equipment shipments
Q1 2030	Q1 2030 → Q4 2030	68.287882	20×	82.235294	17.936560	2030 packaging capture

- **Q3 2026:** (2.043500 + 4.859647 + 3.311471 + 4.969294) × 20 × 1.08 ÷ 74.000000 = **4.432061 USD/share**. Window: Q3 2026-Q2 2027.
- **Q4 2026:** (4.859647 + 3.311471 + 4.969294 + 6.660176) × 20 × 1.08 ÷ 74.588235 = **5.734050 USD/share**. Window: Q4 2026-Q3 2027.
- **Q1 2027:** (3.311471 + 4.969294 + 6.660176 + 9.441176) × 20 × 1.08 ÷ 75.176471 = **7.005566 USD/share**. Window: Q1 2027-Q4 2027.
- **Q2 2027:** (4.969294 + 6.660176 + 9.441176 + 5.873235) × 20 × 1.08 ÷ 75.764706 = **7.681517 USD/share**. Window: Q2 2027-Q1 2028.
- **Q3 2027:** (6.660176 + 9.441176 + 5.873235 + 8.073412) × 20 × 1.08 ÷ 76.352941 = **8.500482 USD/share**. Window: Q3 2027-Q2 2028.
- **Q4 2027:** (9.441176 + 5.873235 + 8.073412 + 10.585235) × 20 × 1.08 ÷ 76.941176 = **9.537391 USD/share**. Window: Q4 2027-Q3 2028.
- **Q1 2028:** (5.873235 + 8.073412 + 10.585235 + 13.923059) × 20 × 1.08 ÷ 77.529412 = **10.713698 USD/share**. Window: Q1 2028-Q4 2028.
- **Q2 2028:** (8.073412 + 10.585235 + 13.923059 + 9.479706) × 20 × 1.08 ÷ 78.117647 = **11.630234 USD/share**. Window: Q2 2028-Q1 2029.
- **Q3 2028:** (10.585235 + 13.923059 + 9.479706 + 11.838000) × 20 × 1.08 ÷ 78.705882 = **12.576463 USD/share**. Window: Q3 2028-Q2 2029.

- **Q4 2028:** (13.923059 + 9.479706 + 11.838000 + 14.941529) × 20 × 1.08 ÷ 79.294118 = **13.669836 USD/share**. Window: Q4 2028-Q3 2029.
- **Q1 2029:** (9.479706 + 11.838000 + 14.941529 + 18.160941) × 20 × 1.08 ÷ 79.882353 = **14.715087 USD/share**. Window: Q1 2029-Q4 2029.
- **Q2 2029:** (11.838000 + 14.941529 + 18.160941 + 12.214529) × 20 × 1.08 ÷ 80.470588 = **15.341605 USD/share**. Window: Q2 2029-Q1 2030.
- **Q3 2029:** (14.941529 + 18.160941 + 12.214529 + 15.401765) × 20 × 1.08 ÷ 81.058824 = **16.179920 USD/share**. Window: Q3 2029-Q2 2030.
- **Q4 2029:** (18.160941 + 12.214529 + 15.401765 + 18.641588) × 20 × 1.08 ÷ 81.647059 = **17.042213 USD/share**. Window: Q4 2029-Q3 2030.
- **Q1 2030:** (12.214529 + 15.401765 + 18.641588 + 22.030000) × 20 × 1.08 ÷ 82.235294 = **17.936560 USD/share**. Window: Q1 2030-Q4 2030.

10. Annual trajectory cross-check

Calendar year	Revenue	GP / contribution	Opex	OP	OP margin
2027	160.200	52.312	27.929	24.382	15.220%
2028	203.000	69.961	31.506	38.455	18.943%
2029	248.000	89.503	35.082	54.420	21.944%
2030	285.000	106.947	38.659	68.288	23.961%

These are calendar-year sums of the quarterly path, not extra revenue and not the live valuation method. For non-December fiscal reporters, fiscal guidance and these calendar totals must be aligned using the period mapping above; a four-quarter run rate is not automatically the same fiscal year. Outer-year outputs are conditional TAM/capture trajectories, not verified management sales targets.

CY2027 PCB85+packaging60+service15.2=160.2M. CY2030 totals130+130+25=285M. This is a growth/capture case, not a management multi-year sales guide. The guided FY2026 adjusted EBITDA band is a separate reconciliation constraint, not a substitute for OP.

11. Dilution sensitivity - same operating case

Denominator sensitivity	Q3 2027 shares M	Q3 2027 ceiling USD	Effect on ceiling
-5% shares	72.535294	8.947876	+5.26%
+0% shares	76.352941	8.500482	+0.00%
+5% shares	80.170588	8.095697	-4.76%
+10% shares	83.988235	7.727711	-9.09%

This isolates denominator uncertainty; it is not a second bull/bear operating case or permission to remove known dilution. The base case remains the explicit share path in the rolling table.

12. Programme and probability ledger

Programme / signal	Source and probability	Amount / unit base	Treatment in this model	Escalation / recognition
37M repeat order	E4;95% order-existence confidence	Above37M EUR	Contained in backlog/equipment forecast	Recognize once shipment/contract criteria are satisfied
Glass / PLP adoption	E2/E3;50% forecast conversion probability for uncommitted projects	2030 gross opportunity260M×50%=130M modeled packaging sales	Single probability-weighted capture trajectory	Require qualified lines and repeat orders
Named US customer identity	Not disclosed;0% identity confidence	No additional value	Do not label Broadcom from wording	Need issuer/customer confirmation

Probabilities are analyst judgments under the framework signal hierarchy. Embedded revenue is not multiplied or added a second time. Where no defensible amount or unit base exists, the opportunity remains explicitly unquantified; confidence alone cannot create a revenue number. New evidence can enlarge the TAM, improve capture or move recognition earlier, but each requires an identifiable model input.

13. Scored risk classes

Risk class	Scored deduction	Mechanism and consequence
Liquidity and collections	-1	Working-capital demands and guarantee restrictions can consume funding.
Dilution and governance	-1	Convertibles, warrants, earn-outs and controlled ownership constrain per-share value.
Execution and margins	-1	Mix, staffing and purchasing savings may disappoint.
Qualification and competition	-1	Glass metallization and customer yields require validation.
Reporting and policy	-1	Nasdaq monitoring, filings and cross-border restrictions remain material.

14. Dated catalysts, counters and escalation

1. **Mid-October2026 - Quarterly update** Test order conversion, German mix and collections.
2. **February2027 - Reporting monitoring** August management says Nasdaq monitoring runs through this period; timely filings remain essential.
3. **Q4 2027 - China campus** Check completion, financing, labor and incremental utilization.
4. **Each filing - Dilution / liquidity** Reconcile conversion shares, PIK accrual, deposits and cash runway.

15. Cross-book monitoring

Watch LPKF glass via formation, MKS/Atotech chemistry, substrate manufacturers and assembly equipment. Better glass yields can benefit several suppliers, but SCHMID qualification does not establish monopoly control or guarantee another holding a contract. China equipment growth and geopolitical restrictions can affect both orders and collections.

16. Source register and model limits

E1 - H1 results and revised guidance (2026-08-25). Revenue above100M maintained; adjusted EBITDA margin lowered to6-9%; equipment order backlog95M atAugust21.

E2 - May management discussion and Q&A (2026-05-18). Panel-level opportunity, qualification stages and financing strategy.

E3 - August management discussion and Q&A (2026-08-25). China capacity, collections, production mix and hiring constraints.

E4 - Repeat equipment order above37M EUR (2026-07-07). Order booked after June; included in subsequent backlog, not additive to it.

E5 - Filed prospectus supplement and dilution schedule (2026-08-25). This earlier issuer text specified60.958903M shares excluding5M contingent earn-out shares and financing instrument terms. It is the historical comparison base; the September 30 prospectuses update the ex-earn-out actual count to61.637954M. [E7;E8]

E6 - Filed FY2024 annual report (2026-02-13). The previously missing annual report has been filed; historical delinquency should not be described as unchanged.

E7 - September 30 prospectus: existing shares and conditional instruments (filed 2026-10-01). Cover distinguishes issued ordinary shares, nonvested earn-out shares and potential registration maxima, including 2028-note and warrant shares. The hypothetical aggregate share count is not actual diluted capitalization.

E8 - September 30 SEPA prospectus and financing history (filed 2026-10-01). Cover and offering disclosures provide 61.637954M ex-earn-out /66.637954M inclusive shares, 1.49M already-issued SEPA shares, 3.51M remaining registered shares and gross proceeds. Financing history identifies the September 17 issue of 679,051 shares for USD 2M 2028-note principal plus interest at USD 2.9974; remaining principal USD 9M. It also states that 2029-note conversion follows complete conversion of the 2028 notes.

E9 - September 30 private-placement resale prospectus (filed 2026-10-01). The 4.958481M May 23 shares settled EUR 30.75M of claims; registration is for resale of historical issued shares.

E10 - September 30 2029-note prospectus (filed 2026-10-01). USD 20M notes issued July 14 and up to 10.362693M registered conversion shares; floor USD 1.93 and maximum USD 10.50 per share. These are potential conversion shares, not executed ordinary-share issuance.

No claim of exclusive industry ownership, named end-customer identity inferred from descriptive wording, or a universal CpK threshold that by itself unlocks every customer. Long-range market units and capture are analyst estimates. Management liquidity expectations are conditional and do not erase negative operating cash flow.

Workbook: G:\My Drive\1amInvesting\Artifacts\v3_2_master_portfolio.xlsx, model tab SHMD_Q_Model. It owns portfolio ranking, prices and return calculations; those remain workbook-owned. **Current artifact path:** G:\My Drive\1amInvesting\Artifacts\SHMD_SchmidGroup_DeepDive.md. **Original snapshot:** versions/originals/SHMD_SchmidGroup_DeepDive.md. Superseded history is retained separately in VERSION_LOG, not in this current-state model.